MARKING SCHEME
FORM ONE JOINT TERMINAL EXAMINATION
BUSINESS STUDIES.

1. (10marks @1mark)

(i)	(ii)	(iii)	(iv)	(v)	(vi)	(vii)	(viii)	(ix)	(x)
C	D	D	C	C	D	C	B	A	A

2. (5marks @1mark)

List A	(i)	(ii)	(iii)	(iv)	(v)
List B	G	B	C	F	A

3. Differences. (10marks @2marks)

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i. **Needs** are goods or services an individual must have to survive.
Examples of needs are food, shelter and water. While wants are goods or services an individual desires even when they are not essential. Examples of wants are televisions, motorcycles and jewellery.

ii. **Goods** are valuable items (things) that satisfies human needs or wants.
Example of goods are clothes, cars and sweets. While services are intangible outcomes of human efforts that satisfy human needs and wants. Examples of services are car washing, health care and online payment.

iii. **Scarcity** means shortage in supply of resources while opportunity cost is the second best alternative foregone after making a choice.

iv. **Production** is a process of transforming raw materials into finished products to satisfy human needs and wants. Example of production A tailor transforms a fabric into a type of a cloth while consumption is the act of using goods and services to satisfy human needs and wants. Example of consumption is people consume food to satisfy hunger.

v. **Entrepreneurship** is the process of taking risk to initiate, organise and control facts of production such as land, labour, and capital to start and manage a business while entrepreneurship is a type of entrepreneurship that is a dynamic approach that encourages employees within an organisation to think and act like entrepreneurs.

4. Five components of Business studies (10marks @2marks)

i. **Entrepreneurship;** This components focuses on the process of setting up and managing a new business. It includes opportunity identification, business planning, innovation and risk taking in business operations.

ii. **Economics;** This is an essential component that focuses on broader understanding of economic environment in which business operates. It includes concept of goods and services in the market.

iii. **Finance and accounting;** The component of finance focuses on budgeting, analysing, interpreting and reporting financial performance of an organisation.

iv. **Marketing;** This component focuses on the strategies, techniques and processes that businesses use to influence and sell their products such as pricing, promoting and distributing a product.

v. **Business Management;** This component encompasses the principles and practices of operating a business effectively. It includes planning, organising, directing, staffing and controlling the business resources to achieve the business goals.

vi. **Information technology and e-business;** This component focuses on the role of Information and Communication Technology (ICT) in business operations. It includes e-commerce and digital marketing.

vii. **Business laws and regulations;** This component focuses on understanding legal aspects for effective business operations such as compliance, employment law and contract, and intellectual property.

viii. **Risk Management;** This component focuses on identifying potential risks that a business may encounter and developing effective ways to overcome the risks; including insurance.

5. Four business processes (10marks @2.5marks)

i. **Production** is a process of transforming raw materials into finished products to satisfy human needs and wants. Example, A tailor transforms a fabric into a type of a cloth such as a trouser.

ii. **Distribution** is a process of moving goods and services from where they produced to where are needed for consumption.
Example, Manufactured sugar is transported from Mtibwa sugar company in Morogoro region to wholesalers, retailers or consumer

iii. **Exchange;** It involves buying and selling goods and services between two or more parties. Example a tailor can produce clothes for selling and not for his or her own consumption.

iv. **Consumption;** It is the act of using goods and services to satisfy needs and wants. Example, people consume food to satisfy hunger

6. Five importance of business studies (10Marks @2marks)

i. **Entrepreneurship and innovation;** Business studies nurture as entrepreneurship/mindset by teaching how to identify opportunities create innovation solutions and manage the risk associated with starting and growing businesses.

ii. **Understanding customer needs and presences;** Business studies help student to realize and appreciate the role of business in the provision of goods and services which satisfy customer's needs and wants

iii. **Critical thinking and problem solving;** Students develop critical thinking skills as they analyse business situation, make decisions and solve complex problems related to management, marketing, finance, procurement and operations

iv. **Global perspective;** Business studies often explores international trade, globalization, and cross-cultural communication, festering an understanding of how business operate in a globalized world

v. **Financial literacy;** Studying business equips individuals with financial literacy to help them manage personal finances, understand investments, and make informed decisions about savings and borrowing

vi. **Career opportunities;** Business studies offer a wide range of career opportunities in field such as marketing, finance, human resources, management, consulting and entrepreneurship.

vii. **Soft skills development;** Student learn communication, team-work, leadership and negotiation skills that are applicable in both professional personal contexts

viii. **Ethics and corporate social responsibility;** Business studies address ethical considerations and corporate social responsibility, encouraging responsible and ethical business practices that contribute to sustainable development in the society

ix. **Adapting to change;** business environments are constantly evolving. Studying business equips the student with skills to to changes, technological advancements and shifts in market trends

x. **Contribution to society;** Successive business drive economic growth, create jobs, and contribute to the overall well-being of society. Business Studies provide insights into how businesses can positively impact communities.

xi. **Interdisciplinary learning;** Business Studies often intersects with various disciplines such as economics, psychology, sociology and technology, offering a multidimensional understanding of how these fields interact in real- world scenarios.

7. Short notes of the following (10 marks @ 2marks)

a) Autonomy; This is an independence or freedom of an entrepreneur preferring to work alone. Entrepreneurs strongly need to do their own things on their own way.

b) Curiosity; This is the desire to know or learn through investigation and inquiry. Curiosity is crucial to an entrepreneurial success because it enables an entrepreneur to learn from mistakes, try new things and explore new business ideas.

c) Optimism; This is a sense of being positive and maintaining high expectations even in hard and challenging situations. Entrepreneurs aim and hold high expectations about their businesses.

d) Passion; This refers to loving what are is doing. Passion helps entrepreneurs to work hard and handle challenges faced in running a business. It makes entrepreneurs enjoy doing their work.

e) **Vision;** This refers to the designed thoughts for achieving contain goals or objectives. Entrepreneurs must have the ability to form thoughts, concepts or objects by imagination.

8. Four importance of entrepreneurship theories (10marks@2.5marks)

i. Bring greater understanding of entrepreneurship behaviour exhibited by different entrepreneurship

ii. Enable one to understand the need for entrepreneurship and the reasons on why some people are more entrepreneurial than others

iii. Explain various approaches and perceptions hold by entrepreneurs

iv. Show that desires for entrepreneurship is innate as well as environmentally determined

9. Four Business Management Skills. (10maks@2.5maks)

i. Financial Management Skills; This is an ability to manage business finances. It is important for an entrepreneur to be able to predict a business cash, sales, as well as profit and loss. An entrepreneur may operate an enterprise effectively and safeguard financial investment by developing strong financial management skills

ii. Sales and marketing skills; This skills is crucial as it helps an entrepreneur to property market products. An entrepreneurs is likely increase sales by offering excellent customer service and putting a marketing strategy in place

iii. Decision Making Skills; This is an ability that supports the capacity to select an alternative among the possible solution to problems. This ability enables an entrepreneur to make well-informed judgments after gathering important facts and data, considering all possible outcomes, seeking inputs from others and trusting their own instincts

iv. **Negotiation Skills;** This is the entrepreneur's ability to resolve an issue in an acceptable and clear manner with others. An entrepreneur face issues, discusses them and bargains to gain advantages for won businesses. Thus, require negotiation skills in order to acquire business deals such as getting new customer or mining new contracts.

10. Six importance of Entrepreneurship (15maks@maks)

i. **Creating employment**; Entrepreneurial activities create employment opportunities through establishment of enterprises. An entrepreneur creates jobs one self as well as those who will be employed in that business. For example starting a catering services creates jobs for a number of people who might be employed as cooks and waiters
ii. **Promotes innovation;** Entrepreneurship fosters innovation which enhance the creation of new and improved products, markets, sources of raw materials, production system, and organizations. Through innovation, organizations, businesses and people survive and complete in markets and increase their business life cycles
iii. **Fosters economic development;** Entrepreneurship fosters economic development through established enterprises which create job opportunities for the people. It reduces the rate of unemployment. The enterprises also create new product which satisfy consumer needs and wants within and outside the country, hence they contribute to the national income
iv. **Promotes social change;** Entrepreneurship promote social change by making entrepreneurs think beyond ordinary ways of doing things and hence, brings social changes such as improved lifestyle, generous thoughts, moral, and better finances options in society. By doing so, they provide innovative solutions to solve social problem, such as access to food, money, and education
v. **Encourages investment;** Through market research on the availability of various business opportunities, entrepreneurs establish new types of businesses in different economic sectors, which lead to increased investment
vi. **Stimulates competition;** Entrepreneurs often compete for the same market and resources, hence, they ensure production of quality and sufficient quality of good and services with affordable price to win the market.